



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Glenn and Helen Jeffs

Of

106 Lockheed Street

RABY NSW 2566

Prepared on:

14th November 2022

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an import document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

14/11/2022

Glenn and Helen Jeffs
106 Lockheed Street
RABY NSW 2566

Dear Glenn and Helen,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Glenn and Helen, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Glenn	Helen
Surname	Jeffs	Jeffs
Gender	M	F
Date of Birth	28/05/1961	24/12/1960
Age Last Birthday	61	61
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Part Time
Occupation	Warehouse Manager	Medical Receptionist
Employer	Affordable Roofing	Australis Group

Estate Planning

	Glenn	Helen
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$975,000
Total Lifestyle Assets	\$975,000

Investment Assets	Value
Cash	\$50,000
Investment Property	\$765,000
Total Investment Assets	\$815,000

Superannuation Assets	
Glenn	
Asgard Infinity E-Wrap	\$123,258
Helen	
Asgard Infinity E-Wrap	\$66,241
Total Superannuation Assets	\$189,499

Total ASSETS	\$1,979,499
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LIABILITIES

Investment Property Loan	\$700,000
Total Liabilities	\$700,000

NET WORTH	\$1,279,499
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Glenn and Helen, based upon your responses to the Risk Profile Questionnaire, it was determined that you both have a **Balanced** investor risk profile in regard to investments inside superannuation.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500*	SGC only

* Prior to 1 July 2022, an individual had to be employed at least 40 hours during any consecutive 30-day period in the financial year they wished to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Glenn and Helen, you currently have the following superannuation funds:

Glenn

Asgard Infinity eWrap – Account Number 1088238-D2-01

- The fund currently has a balance of approximately \$123,258

Helen

Asgard Infinity eWrap – Account Number 1088240-D2-01

- The fund currently has a balance of approximately \$66,241

Superannuation Funds

Recommendations:

- Glenn, commence a non-commutable pre-retirement allocated pension with **the full balance** of your Asgard Infinity eWrap superannuation fund to the recommended CFS pension platform.
- Glenn, set up a new superannuation accumulation fund (Wholesale Personal Super account) on the recommended CFS Wholesale platform.
- Glenn, draw down an income stream of **\$12,000 per annum**.
- Glenn, make additional personal concessional contributions of **\$17,735 per annum** to your new CFS Wholesale Personal Super account.
- Helen, rollover your existing Asgard Infinity eWrap Super fund into the recommended new CFS Wholesale platform.

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your superannuation benefits will be invested under a cost-effective investment platform that provides all the characteristics you will need approaching retirement.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Transition to Retirement

The aim of a 'Transition to Retirement' strategy is to utilise current legislation to increase superannuation contributions whilst remaining cash flow neutral.

Current legislation allows you (as you have reached preservation age) to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free.

The minimum pension amount that you can draw is 4% of your account balance per annum (this minimum amount has been reduced to 2% for the 2022/23 financial year) whilst the maximum pension is 10% and is re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation in the form of salary sacrifice or personal concessional contributions. Salary sacrifice or personal concessional contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessional tax at a maximum of 15% as opposed to marginal tax rates of up to 47%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

Glenn Jeffs	Current Position	Transition to Retirement Pension and making salary sacrifice contributions
INCOME EFFECT		
Taxable Income (after salary sacrifice)	\$89,735	\$72,000
Pension	\$0	\$12,000
Gross Income	\$89,735	\$84,000
Total Tax	-\$21,426	-\$15,307
Net Income	\$68,309	\$68,693
SUPERANNUATION EFFECT		
Gross Contribution	\$9,765	\$27,500
Tax on Contribution (15%)	-\$1,465	-\$4,125
Net Contribution	\$8,300	\$23,375
Pension Paid	0	-\$12,000
Overall impact on superannuation account	+\$8,300	+ \$11,375
TAX EFFECT		
Income Tax	-\$21,426	-\$15,307
Contribution Tax (15%)	-\$1,465	-\$4,125
Total Tax	-\$22,891	-\$19,432

Pre-Retirement Income Stream

Recommendations:

- Glenn, commence a non-commutable pre-retirement allocated pension with **\$123,258** of your benefits rolled over to the recommended pension platform. (See Colonial Wholesale Pension investment recommendation section).
- Glenn, draw down an income stream of **\$12,000** per annum (\$1,000 per month).
- The pension income is to be used to supplement your income that you will salary sacrifice to your new CFS Wholesale Personal super account.
- By commencing a pre-retirement income stream, you are increasing your income in a tax effective manner and therefore allowing you to commence a salary sacrifice arrangement.
- There is an immediate income tax benefit on withdrawal and re-contribution via salary sacrifice, as a result of this strategy.
- The income from a pre-retirement income stream is tax effective income, in that you will receive such benefits as:
 - A deductible amount for tax purposes – which reduces your taxable income.
 - Ability to draw down income from the pension tax free.

Risks:

- Your income stream capital is subject to market performance fluctuations which may have a flow on effect to your income received.
- **A condition of the transition to retirement income stream is that it is non-commutable – no lump sum withdrawals can be made until you satisfy a condition of release.**

Salary Sacrifice to Superannuation

Recommendation:

- Glenn, make additional personal concessional contributions of \$17,735 per annum into your new CFS Wholesale Personal Super account.

Benefits:

- Salary sacrifice or personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Glenn, your salary sacrifice or personal concessional contributions will be taxed at a maximum of 15% compared to the 34.5% if taken as income.
- **The total tax saving for a full financial year is \$3,459.**
- **You have increased your NET superannuation contributions by \$3,075 p.a. to build a capital base to meet your retirement income goals.**

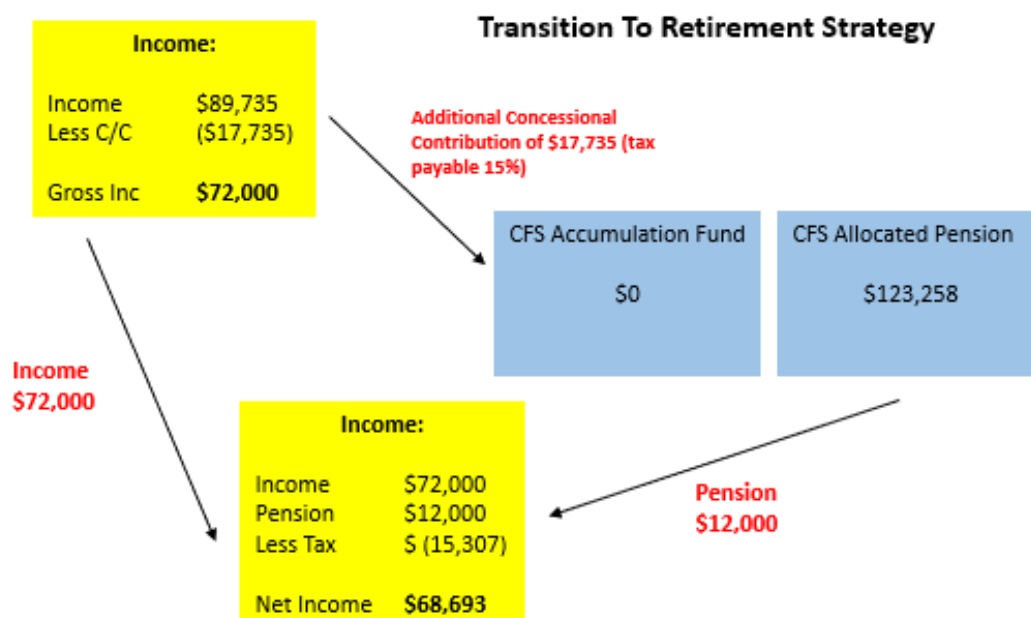
Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:

It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed-up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Full Financial Year



Reversionary Pensions

Recommendations:

Glenn, when you commence your pre-retirement income stream you should make it **reversionary**.

Benefits:

- A reversionary pension enables your tax dependant beneficiary to receive your pension account balance remaining within the superannuation environment. All moneys received by the reversionary beneficiary remain in pension phase and therefore all income earned by the fund or capital gains realised by the fund to pay the benefit pension will not be subject to tax.
- If either the deceased or the recipient of the reversionary pension is over the age of 60, the income stream will not be assessable for income tax purposes.

Risks:

- If the income stream is commuted (either rolled into an accumulation fund or lump sums are withdrawn) within six months after the death of the deceased or 3 months after the grant of probate of that deceased person's will or letters of administration of that deceased person's estate, then it is treated as a death benefit payment. Therefore, the moneys would be treated as a lump sum benefit outside of the superannuation environment.

Concessional Superannuation Contributions Carry Forward

Glenn and Helen, the concessional superannuation contribution cap was previously \$25,000 per annum. In the 2021/22 financial year, this cap increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Glenn**, the following concessional contributions have been made in recent years:

Financial Year	Glenn	Total Allowable Contributions
2018/19	\$7,512	\$25,000
2019/20	\$7,561	\$25,000
2020/21	\$6,902	\$25,000
2021/22	\$6,437	\$27,500
2022/23	\$9,765*	\$27,500
TOTAL	\$38,177	\$130,000

* Estimated S.G contribution for 2022/23

- Glenn, you therefore have a total of **\$91,823** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **\$74,088**.

- **Helen**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Helen	Total Allowable Contributions
2018/19	\$1,319	\$25,000
2019/20	\$2,016	\$25,000
2020/21	\$4,299	\$25,000
2021/22	\$8,139	\$27,500
2022/23	\$9,400*	\$27,500
TOTAL	\$25,173	\$130,000

* Estimated contribution for 2022/23 (SG contributions plus \$100 p.w. salary sacrifice)

- You therefore have a total of **\$104,827** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **\$86,727**

Recommendation:

- **Glenn and Helen**, as your respective superannuation balances are less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- Glenn, consider making salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to additional personal contributions of \$17,735 p.a. The associated tax benefit is outlined on the following page.
- Helen, continue to salary sacrifice \$100 per week (\$5,200 p.a.). As your income is below \$45,000 there is no significant tax benefit of making additional concessional contributions into superannuation.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 34.5% for both of you if taken as income.
- **The total tax saving each year is anticipated to be:**
 - **Glenn \$3,459**

Tax Liability - Glenn

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$93,000			
Deductions				
Investment Property		\$3,265		
TAXABLE INCOME			\$89,735	
Tax Payable before Rebates/Credits				\$21,426
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$19,631
Medicare Levy				\$1,795
NET TAX				\$21,426

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$93,000			
Deductions				
Investment Property		\$3,265		
Additional concessional contribution		\$17,735		
TAXABLE INCOME			\$72,000	
Tax Payable before Rebates/Credits				(\$0)
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$13,867
Medicare Levy				\$1,440
NET TAX				\$15,307

Note: the additional \$17,735 superannuation contribution will be subject to contributions tax of 15% (\$2,660). Therefore, total tax incurred will be \$17,967

Therefore, the overall tax benefit is anticipated to be \$3,459 p.a. (\$21,426 – \$17,967).

Glenn, if you make the following contributions outlined in the table below, the income tax saving over the next four years is estimated to be \$22,207.

- The carry-forward contribution is spread over four years in order to achieve the most tax-beneficial outcome.

**it is assumed existing employer contributions remain the same through these 5 years at \$9,765 p.a.*

	2022/23	2023/24	2024/25	2025/26	Total
Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
Personal Concessional Contributions Available (including 'carry forward' contributions)	\$91,823	\$47,448	\$45,463	\$51,198	
Carry Forward Contribution	\$26,640 [#]	\$13,360 [#]	-	-	\$40,000
Additional Concessional Contribution	\$17,735 [^]	\$17,735 [^]	\$17,735 [^]	\$17,735 [^]	\$70,940
Total Concessional Contribution	\$44,375	\$31,095	\$17,735	\$17,735	\$110,940
Taxable Income	\$45,000	\$58,630	\$72,000	\$72,000	
Reduction in Income Tax Payable	\$9,103	\$6,186	\$3,459	\$3,459	\$22,207

[#] Funded via cash reserves

[^] Funded via Pre-Retirement Pension

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Downsizer Contributions

Currently, individuals of age 60 and over are able to contribute an amount equal to all or part of the sale proceeds from the sale of their main residence, of up to \$300,000 each into super. Downsizer contributions can be made regardless of the other contributions caps and restrictions that might apply to making voluntary contributions, i.e. age restrictions or work test requirements. There is no upper age limit on making downsizer contribution.

A member satisfies eligibility requirements if:

- The contributor is 60 years of age or over from the 1st of July 2022 at the time of the contribution.
- The contribution is capped at \$300,000 per person.
- The main residence was owned by the individual, spouse or former spouse for 10 or more years prior to the sale.
- The contribution must be made into the fund within 90 days of the change of ownership.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Investments Within Superannuation

Asgard Infinity eWrap – Account Number 1088238-D2-01 (Glenn)

Glenn, you have a superannuation fund with Asgard Infinity eWrap Super invested in the following options.

- iShares Australian Bond Index Fund
- iShares Australian Equity Index Fund
- iShares Listed Property & Infrastructure Index Fund
- iShares International Equity Index Fund
- Cash

The asset allocation of your Asgard Infinity eWrap Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	37%
International Shares	33%
Property	9%
Fixed Interest / Bonds	19%
Cash	2%
	100%

Current Asgard Infinity eWrap Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced Portfolio	Deviation
Australian Shares	37%	34%	+3%
International Shares	33%	20%	+13%
Property	9%	14%	-5%
Fixed Interest	19%	26%	-7%
Cash	2%	6%	-4%

Asgard Infinity eWrap Super Portfolio Historical Performance at 30/09/22:

	1 year	3 years (p.a.)	5 years (p.a.)
Asgard Infinity eWrap Super	-10.33%	1.94%	6.05%

Asgard Infinity eWrap – Account Number 1088240 – D2- 01 (Helen)

Helen, you have a superannuation fund with Asgard Infinity eWrap Super invested in the following options.

- iShares Australian Bond Index Fund
- iShares Australian Equity Index Fund
- iShares Listed Property & Infrastructure Index Fund
- iShares International Equity Index Fund
- Cash

The asset allocation of your Asgard Infinity eWrap Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	37%
International Shares	32%
Property	9%
Fixed Interest / Bonds	19%
Cash	3%
	100%

Current Asgard Infinity eWrap Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced Portfolio	Deviation
Australian Shares	37%	34%	+3%
International Shares	32%	20%	+12%
Property	9%	14%	-5%
Fixed Interest	19%	26%	-7%
Cash	3%	6%	-3%

Asgard Infinity eWrap Super Portfolio Historical Performance at 30/09/22:

	1 year	3 years (p.a.)	5 years (p.a.)
AMP Signature Super	-10.18%	1.91%	5.96%

Option 1 – Maintain Existing Asgard Infinity eWrap Super

Glenn

You are invested in Asgard Infinity eWrap Super which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your Asgard Infinity eWrap Super fund is lower than alternative options.

Helen

You are invested in Asgard Infinity eWrap Super which is not aligned with your Investor Risk Profile.

The asset allocation of your portfolio is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your existing Asgard Infinity eWrap Super fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profiles respectively. The specific underlying funds that make up your individual portfolios would be:

Glenn (Pension):

Colonial First State Wholesale Pre-Retirement Pension: – 'Balanced' portfolio

	% of portfolio
Ausbil Wholesale Australian Active Equity	12.00%
First Sentier Wholesale Australian Small Companies	11.00%
Realindex Wholesale Australian Share	11.0%
Colonial First State Wholesale Index Global Share	20.00%
Ironbark Wholesale Property Securities	7.00%
FirstChoice Wholesale Property Securities	7.00%
Perpetual Wholesale Diversified Income	26.00%
FirstRate Wholesale Saver	6.00%

Performance of the alternative Colonial First State **Balanced Portfolio at 30/09/2022:**

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Ausbil Wholesale Australian Active Equity	12.00%	-2.96%	7.73%	10.59%
First Sentier Wholesale Australian Small Companies	11.00%	-19.14%	7.49%	11.23%
Realindex Wholesale Australian Share	11.0%	-0.55%	5.76%	8.90%
Colonial First State Wholesale Index Global Share	20.00%	-10.38%	5.79%	9.17%
Ironbark Wholesale Property Securities	7.00%	-21.59%	-2.75%	4.17%
FirstChoice Wholesale Property Securities	7.00%	-21.12%	-4.15%	2.81%
Perpetual Wholesale Diversified Income	26.00%	-2.52%	0.76%	1.52%
FirstRate Wholesale Saver	6.00%	2.45%	0.45%	0.45%
	100%	-8.10%	3.28%	6.23%

Performance of the alternative Colonial First State **Balanced to Growth Portfolio as at 30/09/2022:**

*to be compared with your current Asgard Infinity eWrap Super funds.

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Ausbil Wholesale Australian Active Equity	11.00%	-2.96%	7.73%	10.59%
First Sentier Wholesale Australian Small Companies	15.00%	-19.14%	7.49%	11.23%
Realindex Wholesale Australian Share	13.00%	-0.55%	5.76%	8.90%
Colonial First State Wholesale Index Global Share	22.00%	-10.38%	5.79%	9.17%
Ironbark Wholesale Property Securities	8.00%	-21.59%	-2.75%	4.17%
FirstChoice Wholesale Property Securities	7.00%	-21.12%	-4.15%	2.81%
Perpetual Wholesale Diversified Income	20.00%	-2.52%	0.76%	1.52%
FirstRate Wholesale Saver	4.00%	2.45%	0.45%	0.45%
	100%	-9.16%	3.66%	6.88%

Glenn & Helen (Accumulation):

Colonial First State Wholesale Personal Super – ‘Balanced’ portfolio

	% of portfolio
Ausbil Wholesale Australian Active Equity	12.00%
First Sentier Wholesale Australian Small Companies	11.00%
Realindex Wholesale Australian Share	11.0%
Colonial First State Wholesale Index Global Share	20.00%
Ironbark Wholesale Property Securities	7.00%
FirstChoice Wholesale Property Securities	7.00%
Perpetual Wholesale Diversified Income	26.00%
FirstRate Wholesale Saver	6.00%
	100.00%

Performance of the alternative Colonial First State **Balanced Portfolio at 30/09/2022:**

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Ausbil Wholesale Australian Active Equity	12.00%	-3.09%	6.76%	9.30%
First Sentier Wholesale Australian Small Companies	11.00%	-17.11%	6.85%	10.13%
Realindex Wholesale Australian Share	11.0%	-0.87%	4.95%	7.78%
Colonial First State Wholesale Index Global Share	20.00%	-9.03%	5.56%	8.53%
Ironbark Wholesale Property Securities	7.00%	-19.44%	-2.20%	3.93%
FirstChoice Wholesale Property Securities	7.00%	-18.97%	-3.47%	2.71%
Perpetual Wholesale Diversified Income	26.00%	-2.26%	0.66%	1.31%
FirstRate Wholesale Saver	6.00%	2.45%	0.45%	0.45%
	100%	-7.28%	3.02%	5.62%

Performance of the alternative Colonial First State **Balanced to Growth Portfolio as at 30/09/2022:**

*to be compared with your current Asgard Infinity eWrap Super funds.

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Ausbil Wholesale Australian Active Equity	11.00%	-3.09%	6.76%	9.30%
First Sentier Wholesale Australian Small Companies	15.00%	-17.11%	6.85%	10.13%
Realindex Wholesale Australian Share	13.00%	-0.87%	4.95%	7.78%
Colonial First State Wholesale Index Global Share	22.00%	-9.03%	5.56%	8.53%
Ironbark Wholesale Property Securities	8.00%	-19.44%	-2.20%	3.93%
FirstChoice Wholesale Property Securities	7.00%	-18.97%	-3.47%	2.71%
Perpetual Wholesale Diversified Income	20.00%	-2.26%	0.66%	1.31%
FirstRate Wholesale Saver	4.00%	2.45%	0.45%	0.45%
	100%	-8.24%	3.37%	6.21%

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Glenn

Type of Fee or Cost	Asgard Infinity eWrap - \$123,258	Colonial Wholesale Super Fund – \$123,258
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.30% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,100 p.a.
Annual average cost - Total \$123,258 investment	\$370 p.a.	\$1,100 p.a.

Helen

Type of Fee or Cost	Asgard Infinity eWrap - \$66,241	Colonial Wholesale Super Fund – \$66,241
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.30% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,100 p.a.
Annual average cost - Total \$66,241 investment	\$199 p.a.	\$1,100 p.a.

Outcomes Post Recommendation:

1. You will gain access to a portfolio of funds that matches your investor risk profile and investment objectives.
2. You will gain access to a pension fund which provides the benefits that we have previously outlined.
3. You will have the ability to implement the documented strategies and have these reviewed on a regular basis.

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

CFS FirstChoice Wholesale Pension TTR - Glenn	MER %	Amount invested ^① \$	Estimated fee \$
Ausbil Wholesale Australian Active Equity	1.04%	\$14,791	\$154
First Sentier Wholesale Australian Small Companies	1.14%	\$13,558	\$155
Realindex Wholesale Australian Share	0.64%	\$13,558	\$87
Colonial First State Wholesale Index Global Share	0.34%	\$24,652	\$84
Ironbark Wholesale Property Securities	0.85%	\$8,628	\$73
FirstChoice Wholesale Property Securities	0.94%	\$8,628	\$81
Perpetual Wholesale Diversified Income	0.95%	\$32,047	\$304
FirstRate Wholesale Saver	0.43%	\$7,395	\$32
Total ongoing fees ^①	0.79%	\$123,258	\$970

CFS FirstChoice Wholesale Personal Super - Helen	MER %	Amount invested ^① \$	Estimated fee \$
Ausbil Wholesale Australian Active Equity	1.04%	\$17,435	\$83
First Sentier Wholesale Australian Small Companies	1.15%	\$15,982	\$84
Realindex Wholesale Australian Share	0.64%	\$15,982	\$47
Colonial First State Wholesale Index Global Share	0.35%	\$29,058	\$46
Ironbark Wholesale Property Securities	0.86%	\$10,170	\$40
FirstChoice Wholesale Property Securities	0.95%	\$10,170	\$44
Perpetual Wholesale Diversified Income	0.95%	\$37,775	\$164
FirstRate Wholesale Saver	0.43%	\$8,717	\$17
Total ongoing fees ^①	0.79%	\$66,241	\$524

- ^① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note there is an additional Adviser Service Fee of \$1,100 p.a. each.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,200 (inclusive of GST), which will be deducted from your superannuation fund.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Pension TTR (Glenn)	\$123,258	Flat Fee	\$1,100	Flat Fee	\$1,000	-	\$1,100 pa
Colonial First State Wholesale Personal Super (Glenn)	Future contributions		-		-	-	-
Colonial FirstChoice Wholesale Personal Super (Helen)	\$60,241	Flat Fee	\$1,100	Flat Fee	\$1,000	-	\$1,100 pa
Total	\$183,499		\$2,200		\$2,000		\$2,200 pa

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Authority to Proceed

We, Glenn & Helen Jeffs, of
106 Lockhhd Street
RABY NSW 2566

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord B Bus (Acc.)**, Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Glenn - Colonial FirstChoice Wholesale Pension TTR	\$123,258
Glenn – Colonial First State Wholesale Personal Super	\$0
Helen – Colonial First State Wholesale Personal Super	\$60,241

All fees and charges have been explained to me.

I authorise **Andrew Lord B Bus (Acc.)**, Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ☐ Facsimile
- ☐ Email
- ☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
 - I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
 - My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.
- ☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: _____ / /
Glenn Jeffs Date

Signed: _____ / /
Helen Jeffs Date

Signed: _____ / /
Andrew Lord Date
B Bus (Acc.), Dip FS (Fin Plan)